

Exploratory Data Analysis (EDA) Report-Delinquency Prediction Dataset

1. Introduction

The objective of this analysis is to understand customer financial behavior and identify key factors contributing to delinquency risk.

2. Dataset Overview

- Total Records: 500rows x 13 columns
- Features include: Age, Income, Credit Score, Missed Payments, Credit Utilization, etc.
- Data contains both **numerical and categorical variables**

3. Data Cleaning & Missing Values

- Missing values identified in key variables such as Income
- Handled using appropriate techniques (e.g., imputation)
- Dataset checked for inconsistencies and duplicates

4. Key Observations

- Customers with **low credit scores** show higher delinquency
- Higher **missed payments** strongly indicate risk
- High **credit utilization (>70%)** linked to financial stress
- Income imbalance affects repayment ability

5. Risk Indicators

The following factors are strong predictors of delinquency:

- High number of missed payments
- Low credit score
- High debt-to-income ratio
- High credit utilization

6. Insights

- Payment history is the most critical feature

- Financial stress indicators directly impact delinquency
- Certain customer segments are more prone to default

7. Conclusion

The analysis highlights key variables influencing delinquency.

These insights can help in building predictive models and improving risk management strategies.

8. Recommendations

- Monitor customers with high missed payments
- Set alerts for high credit utilization
- Improve credit assessment strategies
- Use findings for predictive modeling